Copley Hospital, Inc.
Fiscal Year 2025

Copley Hospital Fiscal Year 2025 340B Narrative

The 340B Drug Pricing Program is a bipartisan federal initiative designed to help hospitals and patients manage high drug costs while maximizing limited healthcare resources—at no additional cost to taxpayers. The program requires pharmaceutical manufacturers to sell outpatient drugs at discounted prices to healthcare organizations that serve uninsured and low-income patients.

Copley participates in a hospital-based replenishment model, which allows us to purchase outpatient drugs at 340B discounted prices only after a 340B eligible patient has received a non 340B medication.

Savings generated through the 340B program enable Copley to support essential patient services that often operate at a loss due to Medicaid and Medicare underpayment. This inventory management approach reduces medication costs and improves cash flow, allowing Copley to better serve vulnerable patients, expand access to care, and ultimately advance health equity in our community.

Copley's 340B internal review and oversight requires rigorous, routine self-audits to ensure compliance with HRSA guidelines, focusing on preventing drug diversion, avoiding duplicate discounts, and verifying patient eligibility. Copley also utilizes 340B vendors for additional oversight, conducts annual mock audits, and maintains audit-ready records.

Reported 340B patient cost-sharing and expenditure data cannot be separately identified from other reported revenue and operating expenses. Accordingly, all amounts presented are estimates.